

DRAFT PROFESSIONAL SERVICES AGREEMENT

Plant Modernization Engineering Support

FICTIONAL DOCUMENT - CREATED ONLY FOR PORTFOLIO DEMONSTRATION

Proposed Supplier	Westline Engineering Group LLC
Draft Reference	DRAFT-PSA-2026-118
Proposed Value	USD 585,000
Proposed Effective Date	October 1, 2026
Proposed Expiration Date	September 30, 2027
Document Status	Draft - Under Review - Not Executed

This document and all organizations, people, addresses, signatures, values, and projects are fictional. It demonstrates AI-assisted contract administration, source traceability, supplier matching, register automation, and renewal tracking. It is not legal advice and is not intended for execution.

Agreement Overview and Draft Contents

This Draft Professional Services Agreement is submitted for Northstar review and has not been approved or executed. Proposed commercial terms remain outside the official contract register.

Customer	Northstar Industrial Services, Inc.
Proposed Supplier	Westline Engineering Group LLC
Project	Plant Modernization Engineering Support
Draft Reference	DRAFT-PSA-2026-118
Proposed Value	USD 585,000
Proposed Term	October 1, 2026 through September 30, 2027

Contract structure

- 1. Parties, recitals, definitions, and order of precedence
- 2. Services, key personnel, subcontractors, and change control
- 3. Fees, invoicing, taxes, expenses, and audit rights
- 4. Term, automatic renewal, suspension, and termination
- 5. Confidentiality, data security, and records handling
- 6. Intellectual property, compliance, and publicity
- 7. Insurance, indemnification, and limitation of liability
- 8. General terms, governing law, assignment, and notices
- Exhibit A. Scope, deliverables, milestones, and pricing

DRAFT CONTROL NOTE: Northstar Procurement must confirm supplier onboarding, business ownership, funding, CFO approval, insurance, legal review, and signature authority before execution.

1. Parties, Recitals, and Definitions

1.1. Parties

This Draft Professional Services Agreement (the **Agreement**) is proposed between **Northstar Industrial Services, Inc.**, a Delaware corporation with offices at 420 Harbor Industrial Way, Oakland, California 94607 (**Northstar**), and **Westline Engineering Group LLC**, a New York limited liability company with offices at 88 Madison Works Plaza, Albany, New York 12207 (**Supplier**).

1.2. Purpose

Northstar is planning a modernization program at its fictional Oakland processing facility. Supplier proposes to provide engineering assessment, project-controls coordination, equipment-layout review, and commissioning support as described in Exhibit A.

1.3. Definitions

Confidential Information means non-public commercial, technical, security, pricing, personnel, and operational information.

Deliverables means reports, drawings, schedules, models, and other work product identified in Exhibit A. **Services** means the professional services described in an executed Statement of Work.

1.4. Order of Precedence

In a conflict, the order of precedence will be: an executed change order, the applicable Statement of Work, this Agreement, and Supplier's proposal. Supplier's invoice terms or online terms will not amend the Agreement.

1.5. Independent Contractor

Supplier is an independent contractor with no authority to bind Northstar. Supplier is responsible for the direction, compensation, taxes, and supervision of its personnel.

2. Services, Personnel, and Change Control

2.1. Performance Standard

Supplier will perform the Services professionally and consistently with generally accepted engineering practices and Exhibit A. Supplier will promptly notify Northstar of conditions reasonably expected to affect cost, schedule, safety, or deliverable quality.

2.2. Key Personnel

Daniel Ortiz will serve as Supplier project manager. Supplier may replace key personnel with individuals of substantially similar experience after providing written notice to Northstar.

2.3. Subcontractors

Supplier may engage qualified subcontractors to perform portions of the Services **without Northstar's prior consent**. Supplier remains responsible for subcontractor performance and payment.

2.4. Site Rules

Personnel entering a Northstar site must comply with posted safety, security, access-control, and incident-reporting rules. Northstar may remove personnel presenting a reasonable safety or security concern.

2.5. Change Control

Either party may request changes to scope, assumptions, schedule, staffing, or fees. Supplier may begin additional work based on **email authorization** from Northstar's project manager, and the parties will document the change within thirty days.

2.6. Acceptance

Northstar will review each Deliverable within ten business days. A Deliverable is deemed accepted if Northstar does not provide written notice of material nonconformity during that period.

3. Fees, Invoicing, Taxes, and Records

3.1. Proposed Contract Value

The total not-to-exceed value is **USD 585,000**, consisting of USD 545,000 in professional fees and USD 40,000 in expenses. Supplier may exceed that value based on email authorization pending a formal change order.

3.2. Invoices

Supplier will invoice monthly in arrears and identify personnel, hours, rates, expenses, milestone progress, purchase-order number, and Statement of Work. Northstar may withhold only the disputed portion.

3.3. Payment Terms

Northstar will pay undisputed amounts within **sixty (60) days** after receiving a complete and accurate invoice. Past-due amounts accrue interest at one percent per month or the maximum lawful rate.

3.4. Expenses

Northstar will reimburse reasonable travel expenses at actual cost, including airfare, lodging, meals, and mileage. Only individual expenses above USD 2,500 require advance approval.

3.5. Taxes

Fees exclude sales, use, excise, and similar transaction taxes. Northstar is not responsible for taxes based on Supplier's income, payroll, property, or personnel.

3.6. Records

Supplier will maintain invoice-supporting records for two years after final payment. Any review is limited to once per year and conducted by Supplier's independent accountant at Northstar's expense.

4. Term, Renewal, Suspension, and Termination

4.1. Proposed Term

The proposed term begins **October 1, 2026** and expires **September 30, 2027**, unless earlier terminated under the Agreement.

4.2. Automatic Renewal

The Agreement will **automatically renew** for successive twelve-month terms unless either party gives written notice at least **forty-five (45) days** before the end of the current term.

4.3. Termination for Cause

Either party may terminate for material breach if the breach remains uncured thirty days after written notice. Supplier may suspend Services on ten days' notice for an undisputed invoice unpaid more than thirty days after its due date.

4.4. Termination for Convenience

Supplier may terminate for convenience on sixty days' notice. Northstar may do so only if it pays an early termination charge equal to fifteen percent of the remaining not-to-exceed value.

4.5. Closeout

At expiration or termination, Supplier will stop work, deliver completed and in-process Deliverables, return Northstar property, and submit a final invoice within sixty days.

4.6. Transition Assistance

At Northstar's request, Supplier will provide up to forty hours of transition assistance at the rates in Exhibit A.

5. Confidentiality and Data Security

5.1. Confidentiality

Each receiving party will use Confidential Information only for the Services and protect it using reasonable care. Obligations continue for three years after disclosure; trade-secret obligations continue while information remains a trade secret.

5.2. Exclusions

Confidential Information excludes information independently developed, rightfully received without restriction, publicly available through no breach, or approved for release in writing.

5.3. Required Disclosure

A receiving party may disclose information when legally required after advance notice where lawful and reasonable assistance at the disclosing party's expense.

5.4. Security Program

Supplier will maintain commercially reasonable safeguards and may store project files in its standard U.S.-hosted collaboration platform.

5.5. Security Incident

Supplier will notify Northstar no later than **ten (10) business days** after confirming unauthorized access to Northstar Confidential Information and will describe available corrective action.

5.6. Return and Deletion

After termination and written request, each party will return or delete the other's information, except routine backup and legal-retention copies.

6. Intellectual Property and Compliance

6.1. Background Materials

Each party retains ownership of technology, methods, templates, know-how, documentation, and materials developed independently of this Agreement.

6.2. Deliverable Ownership

Supplier owns all Deliverables and project work product. Upon full payment, Supplier grants Northstar a perpetual, non-exclusive, **non-transferable license** to use final Deliverables only at the Oakland facility.

6.3. Third-Party Materials

Supplier may incorporate third-party tools, standards, and materials into Deliverables, subject to their applicable license terms.

6.4. Compliance with Laws

Each party will comply with laws applicable to its own performance. Supplier will comply with anti-bribery, export-control, equal-employment, and workplace-safety requirements.

6.5. No Debarment

Supplier represents it is not suspended or debarred from U.S. federal contracting and will notify Northstar of a material change.

6.6. Publicity

Supplier may identify Northstar as a customer and use Northstar's name in a customer list unless Northstar objects in writing.

7. Insurance, Indemnification, and Liability

7.1. Insurance

Supplier will maintain workers' compensation as required by law and commercial general liability insurance of **USD 1,000,000 per occurrence**. A certificate of insurance is provided only upon written request.

7.2. Supplier Indemnity

Supplier will defend and indemnify Northstar only against a third-party claim that a final Deliverable directly infringes a U.S. patent, copyright, or trademark.

7.3. Northstar Indemnity

Northstar will defend and indemnify Supplier from claims arising from unsafe site conditions or Northstar instructions, except to the extent caused by Supplier negligence.

7.4. Liability Cap

Supplier's aggregate liability will not exceed **twenty-five percent (25%) of fees paid** during the six months preceding the event. The cap applies to confidentiality and indemnity obligations.

7.5. Excluded Damages

Neither party is liable for lost profit, production, data, business interruption, or indirect, incidental, special, exemplary, or consequential damages.

7.6. Professional Judgment

Supplier does not warrant governmental approval, project outcome, energy savings, or construction results dependent on third parties.

8. General Terms and Exhibit A

8.1. Governing Law and Venue

The Agreement is governed by the laws of the **State of New York**. Exclusive venue lies in state or federal courts in Albany County, New York.

8.2. Assignment

Supplier may assign to an Affiliate or in connection with a merger or asset sale upon notice. Other assignments require consent.

8.3. Notices

Legal notices go to Northstar Legal Department, Oakland, California, at legal-notices@northstar-demo.example, and Supplier Managing Member, Albany, New York, at contracts@westline-demo.example.

8.4. Force Majeure and Entire Agreement

Neither party is liable for delay beyond reasonable control. The executed Agreement and exhibits will supersede prior proposals. Amendments must be signed by authorized representatives.

Exhibit A - Proposed deliverables and pricing

Deliverable	Proposed due date	Acceptance evidence
Existing-condition assessment	November 15, 2026	Report and photo log
30% layout and risk review	January 31, 2027	Drawings and risk register
90% coordination package	April 30, 2027	Marked drawings and action log
Commissioning and closeout	September 15, 2027	Punch list and closeout memorandum

Role / item	Rate or amount	Budget
Principal engineer	USD 285/hour	USD 171,000
Senior project engineer	USD 225/hour	USD 225,000
Project controls specialist	USD 185/hour	USD 149,000
Expenses	At cost	USD 40,000
Total not-to-exceed		USD 585,000

DRAFT STATUS: Signature blocks are intentionally omitted. Values above USD 500,000 require CFO approval under the fictional company playbook.